

their purchase for this specific purpose by persons who have decided independently to acquire the shares for either speculation or supposed investment.⁶ The arguments against the investor's converting convertible issues apply with equal force against his exercising stock-purchase warrants attached to bonds bought for investment purposes.

A continued policy of investment in privileged issues would, under favorable conditions, require rather frequent taking of profits and replacement by new securities not selling at an excessive premium. More concretely, a bond bought at 100 would be sold, say, at 125 and be replaced by another good convertible issue purchasable at about par. It is not likely that satisfactory opportunities of this kind will be continuously available or that the investor would have the means of locating all those that are at hand. But the trend of financing in recent years offers some promise that a fair number of really attractive convertibles may again make their appearance. Following the 1926–1929 period, marked by a flood of privileged issues generally of poor quality, and the 1930–1934 period, in which the emphasis on safety caused the virtual disappearance of conversion privileges from new bond offerings, there has been a definite swing of the pendulum towards a middle point, where participating features are at times employed to facilitate the sale of sound bond offerings.⁷ Most of those sold between 1934 and 1939 either carried very low coupon rates or immediately jumped to a prohibitive premium. But we incline to the view that the discriminating and careful investor is again likely to find a reasonable number of attractive opportunities presented in this field.

⁶ In actual practice, conversions often result also from arbitrage operations involving the purchase of the bond and the simultaneous sale of the stock at a price slightly higher than the "conversion parity."

⁷ For data regarding the relative frequency of privilege issues between 1925 and 1938, see Appendix Note 35 and the S.E.C. statistical releases referred to in Chap. 22, Note 4.